DEPARTMENT OF HOUSING AND COMMUNITY DEVELOPMENT
DIVISION OF HOUSING POLICY DEVELOPMENT
651 Bannon Street, 10th Floor, Suite 400
Sacramento, CA 95811
(916) 263-2911
www.hcd.ca.gov

October 15, 2026

Kome Ajise
Executive Director
Southern California Association of Governments
900 Wilshire Blvd., Ste. 1700
Los Angeles, CA 90017

Dear Kome Ajise:

RE: Final 7th Cycle Regional Housing Need Determination

This letter provides the Southern California Association of Governments (SCAG) its final Regional Housing Need Determination (RHND). Pursuant to state Housing Element Law (Gov. Code, § 65584, et seq.), the California Department of Housing and Community Development (HCD) is required to provide the determination of the region's existing and projected housing need.

From August 2026 to October 2026, HCD and SCAG staff completed a consultation process covering the methodology, assumptions, data sources, and timeline for HCD's determination of SCAG's regional housing need. To inform this process, HCD also consulted the California Department of Finance (DOF) Demographic Research Unit.

Attachment 1 displays the RHND of **1,359,750** total units among six income categories for SCAG to distribute among the region's local governments. Attachment 2 explains the methodology and assumptions applied pursuant to Government Code section 65584.01. To determine the region's housing need, HCD considered all the information specified in Government Code section 65584.01, subdivision (b).

SCAG is responsible for adopting a methodology for the Regional Housing Needs Allocation (RHNA) and a RHNA Plan for the *projection* period beginning June 30, 2029, and ending October 15, 2037. Pursuant to Government Code section 65584, subdivision (d), the methodology to prepare SCAG's RHNA Plan must further the following objectives:

1. Increasing the housing supply and mix of housing types, tenure, and affordability
2. Promoting infill development and socioeconomic equity, protecting environmental and agricultural resources, and encouraging efficient development patterns
3. Promoting an improved intraregional relationship between jobs and housing
4. Balancing disproportionate household income distributions
5. Affirmatively furthering fair housing

Pursuant to Government Code section 65584.04, subdivision (e), to the extent data is available, SCAG shall consider including the factors listed in Government Code section 65584.04, subdivision (e) to develop its RHNA Plan. Also, pursuant to Government Code section 65584.04, subdivision (f), SCAG must explain in writing how each of these factors was incorporated into the RHNA Plan methodology and how the methodology furthers the statutory objectives described above. Pursuant to Government Code section 65584.04, subdivisions (h)-(i), SCAG must submit its draft methodology to HCD for review and a determination of consistency with the statutory objectives.

Government Code section 65588, subdivision (e)(6) specifies the RHNA *projection* period begins December 31 or June 30, whichever date most closely precedes the previous projection period end date. SCAG's local governments in Orange County, Riverside County, San Bernardino County, and Ventura County are responsible for updating their housing elements for the *planning* period beginning October 15, 2029, and ending October 15, 2037, to accommodate their share of the regional housing need for each income category. SCAG's local governments in Imperial County and Los Angeles County are responsible for updating their housing elements for the *planning* period beginning April 15, 2030, and ending April 15, 2038, to accommodate their share of the regional housing need for each income category.

The housing elements for local jurisdictions in Orange County, Riverside County, San Bernardino County, and Ventura County are due on October 15, 2029. The housing elements for jurisdictions in Imperial County and Los Angeles County are due on April 15, 2030. Please note, a jurisdiction authorized to permit residential development may take RHNA credit for new units approved, permitted, and/or built since the start date of the RHNA *projection* period (June 30, 2029).

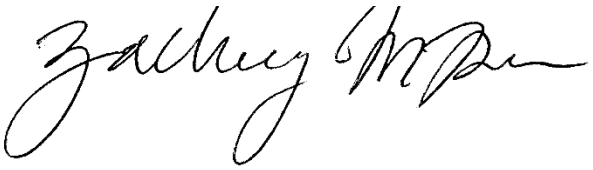
As specified in Government Code section 65584.01, subdivision (c), a council of governments may, within 30 days from the date of this letter, file an objection to HCD's determination of the regional housing need.

HCD encourages all of SCAG's local governments to consider the many affordable housing and community development resources available to local governments. HCD's programs can be found at https://www.hcd.ca.gov/grants-and-funding.

HCD commends SCAG's leadership in fulfilling their important role in advancing the state's housing, transportation, and environmental goals. HCD would especially like to thank Sarah Jepson, Ma'Ayn Johnson, Kevin Kane, Elizabeth Carvajal, Michael Dietz, and Philip Law for their significant efforts and assistance. HCD looks forward to continued partnership with the region and assisting in planning efforts to accommodate the region's share of the housing need.

If HCD can provide any additional assistance, or if you or your staff have any questions, please contact Balaji Balaganesan, Senior Housing Specialist, at Balaji.Balaganesan@hcd.ca.gov, or Samantha Wu Rose, Housing Specialist, at Samantha.WuRose@hcd.ca.gov.

Sincerely,



Zach McRae
Assistant Deputy Director, Fair Housing and Tribal Affairs

Enclosures

cc: David Zisser, Deputy Director, Division of Housing Policy Development, Department of Housing and Community Development
Marisa Prasse, Fair Housing Section Chief, Department of Housing and Community Development
Sarah Jepson, Chief Planning Officer, Southern California Association of Governments
Ma'Ayn Johnson, Manager, Southern California Association of Governments
Kevin Kane, Program Manager, Southern California Association of Governments
Elizabeth Carvajal, Deputy Director, Southern California Association of Governments
Michael Dietz, Planning Manager, Southern California Association of Governments
Philip Law, Deputy Director, Southern California Association of Governments

ATTACHMENT 1
HCD REGIONAL HOUSING NEED DETERMINATION
Southern California Association of Governments (SCAG):
June 30, 2029 through October 15, 2037

INCOME CATEGORY	PERCENT	HOUSING UNIT NEED
Acutely Low	10.4%	141,930
Extremely Low	13.3%	180,582
Very Low	14.0%	189,752
Low	19.0%	257,749
Moderate	9.2%	124,839
Above Moderate	34.2%	464,898
Total	**100.0%**	**1,359,750**

Notes:
Income Distribution:
Income categories are prescribed by California Health and Safety Code Section 50063.5, et. seq. Percentages are derived based on Census/ACS reported household income brackets and county median income as determined by HCD.

ATTACHMENT 2
HCD REGIONAL HOUSING NEED DETERMINATION:
Southern California Association of Governments
(SCAG): June 30, 2029 through October 15, 2037

Methodology

Southern California Association of Governments: June 30, 2029 - October 15, 2037 (8 Years) HCD Determined Population, Households, & Housing Need		
Ref. No.	Steps Taken to Calculate Regional Housing Need	Amount
1	*Population: DOF 6/30/2037 Projection Adjusted 3.5 months to 10/15/2037*	*18,792,495*
2	*- Group Quarters Population: DOF 6/30/2037 Projection Adjusted 3.5 months to 10/15/2037*	*(394,638)*
3	*= Preliminary Household (HH) Population: 10/15/2037*	*18,397,857*
5	Preliminary Projected Households (Occupied Unit Stock)	*6,888,555*
7	+ Projected Apartment Style Student Households	*708*
8	**Total Projected Households**	**6,889,263**
9	+ Vacancy Adjustment for Existing Households	16,275
	+ Vacancy Adjustment for Projected Households	131,589
10	+ Overcrowding Adjustment	398,400
11	+ Cost-burden Adjustment	764,476
12	- Adjustment to account for HHs that experience both overcrowding and cost-burden	(259,849)
13	+ Replacement Adjustment Demolitions	6,889
14	+ Jobs Housing Relationship Adjustment	9,467
15	+ Homelessness Adjustment	38,646
16	+ State of Emergency Adjustment	8,056
17	- *Occupied Units (HHs) estimated projected June 30, 2029*	(6,643,462)
18	**Preliminary Regional Housing Need**	**1,359,750**
19	+ Replacement Adjustment Seasonal, Recreational, and Occasional Use	0
20	+ Feasible Jobs/Housing Balance Adjustment	0
Total	**7th Cycle Regional Housing Need Determination (RHND)**	**1,359,750**

Detailed background data for this table is available upon request.

Explanation and Data Sources

Projection period: Government Code section 65588, subdivision (f), specifies the RHNA projection period start is December 31 or June 30, whichever date most closely precedes the end of the previous RHNA projection period end date. SCAG's projection period starts June 30, 2029, and ends October 15, 2037.

1-5. Population, Group Quarters, Household Population, and Projected Households: Pursuant to Government Code section 65584.01, projections were extrapolated from Department of Finance (DOF) projections. Population reflects total persons. Group Quarter Population reflects persons in a dormitory, group home, institution, military, etc., that do not require residential housing. Household Population reflects persons requiring residential housing. Projected Households reflect the propensity of persons, by age-groups, to form households at different rates based on Census trends.

7. Projected Apartment-Style Student Households: DOF provides projections of the student population expected to reside in apartment-style student housing by the end of the projection period. Under the US Census Bureau definitions, all student housing owned, leased, or managed by a college or university, including apartment-style units, are classified as group quarters rather than as part of the household population. Because DOF household projections exclude the group quarters population, projected changes in the number of students living in apartment-style student housing are not captured in the baseline household forecast. HCD accounts for this by subtracting the student population residing in apartment-style student housing at the beginning of the projection period (2029) from the projected population at the end of the projection period (2037). The resulting net change in student population living in apartment-style student housing (10,195) is then converted into projected households using the age 15-24 headship rate of 6.94% percent, resulting in an adjustment of 708 projected households.

8. Total Projected Households at the end of the projection period (October 15, 2037).

9. Vacancy Adjustment: Pursuant to Government Code section 65584.01, subdivision (b)(1)(E), HCD applies a vacancy adjustment based on the region's current vacancy percentage to promote healthy market vacancies that facilitate housing availability and resident mobility. Healthy vacancy rates are 2% for owners and 7% for renters for metropolitan planning organization (MPO) regions (6% for renters in non-MPO regions). There are two methodologies utilized to calculate this adjustment. The first methodology is to calculate the vacancy adjustment for existing households. The adjustment for existing households is the difference between the healthy rate of 2% and 7% vacancy rates and the region's current vacancy rates based on the 2024 5-year American Community Survey (ACS) data. That difference is then multiplied by the number of existing households by tenure based on the most recent occupied household estimates from DOF (existing households multiplied by current rates of renters and owners). For SCAG, the existing household owner vacancy rate (0.78%) is below the healthy standard, resulting in a 1.22% adjustment. The existing household renter vacancy rate (4.07%) is also below the healthy standard, resulting in a 2.93% adjustment. The second methodology is to calculate the vacancy adjustment for projected households. The projected household vacancy adjustment is obtained by applying the standard 2% and 7% vacancy rates to the projected owner and renter households. The healthy vacancy rates (2% and 7%) are then multiplied by the number of projected households

by tenure (projected households multiplied by current rates of renters and owners). Data is from the 2024 5-year ACS and DOF 2026 E-5 Population Estimates. Note**:** 2024 1-year ACS summary tables (B25004 and B25003) were not available for all the counties in the SCAG region, thus the 2025 5-year ACS summary tables were used.

10. Overcrowding Adjustment: Pursuant to Government Code section 65584.01, subdivision (b)(1)(C), HCD uses ACS data to consider the percentage of households that are overcrowded in the region compared to the United States national average of households that are overcrowded. In regions where the overcrowding rate is greater than the U.S. national average overcrowding rate (3.54%), HCD applies an adjustment based on the amount the region's overcrowding rate exceeds the U.S. overcrowding rate. For SCAG, the region's overcrowding rate (9.66%) is higher than the national average (3.54%), resulting in a 6.12% adjustment. HCD then applies the 6.12% adjustment to total occupied households in the region (6,514,134). Per SCAG's request, data is from the 2024 1-year ACS (B25014) and DOF 2026 E-5 Population Estimates. HCD received satisfactory evidence that the 2024 1-Year ACS data is not anomalous and has a relatively low margin of error given SCAG's large size. As a result, HCD utilized the applicable 2024 1-Year ACS summary tables throughout the RHND calculations where feasible.

11. Cost Burden Adjustment: Pursuant to Government Code section 65584.01, subdivision (b)(1)(H), HCD uses ACS data to consider the percentage of households that are cost burdened in the region compared to the United States national average of households that are cost burdened. In regions where the cost burden rate is greater than the U.S. national average rate (31.45%), HCD applies an adjustment based on the amount the region's cost burden rate exceeds the U.S. rate. For SCAG, the region's cost burden rate (43.19%) is higher than the national average (31.45%), resulting in an 11.74% adjustment. HCD then applies the 11.74% adjustment to total occupied households in the region (6,514,134). Data is from the 2024 1-year ACS (B25140) and DOF 2026 E-5 Population Estimates.

12. Overcrowding and Cost Burden Adjustment: To minimize double counting the housing needs of households that are both overcrowded and cost burdened, HCD has implemented an additional overcrowding and cost burden adjustment. For regions with an adjustment for both overcrowding and cost burden, a downward adjustment is applied based on the number of households that are estimated to be both overcrowded and cost burdened according to an analysis of 2024 1-year ACS Public Use Microdata Sample File data (PUMS) provided by DOF. If the DOF data for this adjustment exceeds the individual adjustments for overcrowding or cost burden, then this adjustment is limited to the lesser of the two. This double counting consideration resulted in a 259,849-unit reduction.

13. Replacement Adjustment (Demolitions): HCD applies a replacement adjustment between 0.10% to 5% to the total housing stock based on the current 10-year average percent of demolitions (January 1, 2017, to January 1, 2026) in the region's local government annual reports to DOF. Units lost during a state of emergency declaration are not included. For SCAG, the 10-year average was 0.022%, so the minimum adjustment of 0.10% is applied to the projected occupied households. The data for demolitions is from DOF-DRU's 2026 custom tabulations of Annual Housing Unit Survey Results and DOF 2026 E-5 Population Estimates.

14. Jobs Housing Relationship Adjustment: HCD applies an adjustment based on the number of in-commuters to a region. The adjustment is calculated by dividing the number of in-commuters to the region by HCD's jobs/housing standard of 1.5. In SCAG, the number of employed residents was below the number of people employed in the region, resulting in an adjustment of 9,467. Data is from the US Census Bureau LEHD Origin-Destination Employment Statistics, 2023.

15. Homelessness Adjustment: HCD applies an adjustment based on the housing needs of individuals and families experiencing homelessness. For non-COG regions and COGs that do not provide their own data, by default, HCD uses the most recent Point-in-Time counts from the region's Continuums of Care and DOF household formation rates. SCAG's Continuums of Care include Imperial County, Los Angeles City and County, Santa Ana, Anaheim/Orange County CoC, Riverside City and County, San Bernardino City and County, Oxnard, San Buenaventura/Ventura County CoC, Long Beach CoC, Pasadena CoC, and Glendale CoC. An adjustment of 38,646 units was applied to SCAG using data from the HUD 2025 Point-in-Time Count and DOF household formation rates. This adjustment is allocated to the acutely low- and extremely low-income categories, with 75% of the adjustment allocated to the acutely low-income category and 25% allocated to the extremely low-income category.

16. State of Emergency Adjustment: HCD uses data provided by the California Governor's Office of Emergency Services (CalOES) and the California Department of Forestry and Fire Protection (CAL FIRE) pursuant to Government Code section 65584.01, subdivision (b)(1)(I), to calculate the number of units lost due to a declared state of emergency during the previous planning period (since 2021) and which have not been rebuilt or replaced. CalOES and CAL FIRE inspection data was retrieved by HCD in August 2026. HCD defines a rebuilt or replaced unit as the issuance of a building permit in the affected area, as reported in the Annual Progress Report or other local data sources, and subtracts the number of building permits from the count of units lost. To estimate the percentage of units lost that were originally occupied, HCD uses 2024 5-year ACS data (B25004) to calculate the percentage of units in the region that are temporarily occupied by persons with a usual residence elsewhere. The occupancy rate is then applied to the net units lost due to a state of emergency. For SCAG, this resulted in an adjustment of 8,056 units to the RHND. HCD uses the California Franchise Tax Board and CalOES list of disasters and emergency proclamations to ensure that only units destroyed by a Governor-declared State of Emergency in the region are utilized when calculating this adjustment.

17. Occupied Units: Reflects DOF's projected occupied units at the start of the projection period (June 30, 2029).

18. Preliminary Regional Housing Need Determination: Housing need calculated after applying calculations 1-17. This preliminary RHND is used to evaluate feasible balance between jobs and housing and the Replacement Adjustment (Seasonal, Recreational, and Occasional Use).

19. Replacement Adjustment (Seasonal, Recreational, and Occasional Use Housing Units): In addition to the demolition replacement adjustment, HCD also applies a replacement adjustment to account for housing units that are not available for permanent year-round occupancy. This adjustment is calculated based on the change in the percentage of

housing units that are for seasonal, recreational, and occasional use per ACS data. There are two methodologies utilized to calculate this adjustment, depending on changes in the housing stock over the period of analysis. If both the total number of seasonal, recreational, and occasional use housing units and the overall housing stock increased over the relevant 8-year period, HCD calculates the adjustment based on the proportion of newly added housing units used for seasonal, recreational, or occasional purposes during that time frame. This proportion is then applied as a percentage increase to the preliminary housing need assessment. If, however, the overall housing stock decreased, HCD instead compares the change in the share of seasonal, recreational, occasional use housing units to total housing units. For SCAG, the total number of recreational housing decreased and total housing units increased from 2016 to 2024; therefore, HCD used the first option. From 2016 to 2024, seasonal, recreational, occasional use housing units decreased (-11,110) while there was new housing unit growth (+341,030). Since there was a decrease in seasonal, recreational, occasional use housing units, no adjustment was applied. Note: Data is from the 2016 and 2024 ACS 5-year estimates (B25004), as 2024 1-year ACS data was not available for the necessary tables for all the counties in the SCAG region.

20. Feasible Jobs/Housing Balance Adjustment: According to statute, the “region’s existing and projected housing need shall reflect the achievement of a feasible balance between jobs and housing within the region using the regional employment projections in the applicable regional transportation plan” (Gov. Code § 65584.01, subd. (c)(1)). After applying the adjustments noted above, HCD compared the 7th cycle RHNA determination and the region’s total occupied housing units to employment projections in Caltrans’ Long-Term Socio-Economic Forecast to determine whether a feasible balance was achieved. This analysis resulted in a jobs housing balance of 1.11 (0.9 housing units for every projected job). Because this is below the healthy rate of 1.5, no additional adjustment is needed. Data is from Caltrans’ 2026 Long-Term Socio Economic Forecast as prepared by DOF.